The government has taken the momentous step of both setting a CPI-based inflation objective for the RBI as well as a framework for setting up an independent monetary policy committee. In the days ahead, a new Governor, as well as the members of the committee, will be picked. I am sure they will internalize the frameworks and institutions that have been set up, and should produce a low inflation future for India.

The rewards will be many. Our currency has been stable as investors have gained confidence in our monetary policy goals, and this stability will only improve as we meet our inflation goals. Foreign capital inflows will be more reliable and increase in the longer maturity buckets, including in rupee investments. This will expand the pool of capital available for our banks and corporations. The government will be able to borrow at low rates, and will be able to extend the maturity of its debt. The poor will not suffer disproportionately due to bouts of sharp inflation, and the middle class will not see its savings eroded. All this awaits us as we stay the course.